

Olist Q2 2018

WHICH ACQUISITION CHANNELS ARE WORTH IT?

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<https://github.com/albarpambagio/olist-marketing-report>

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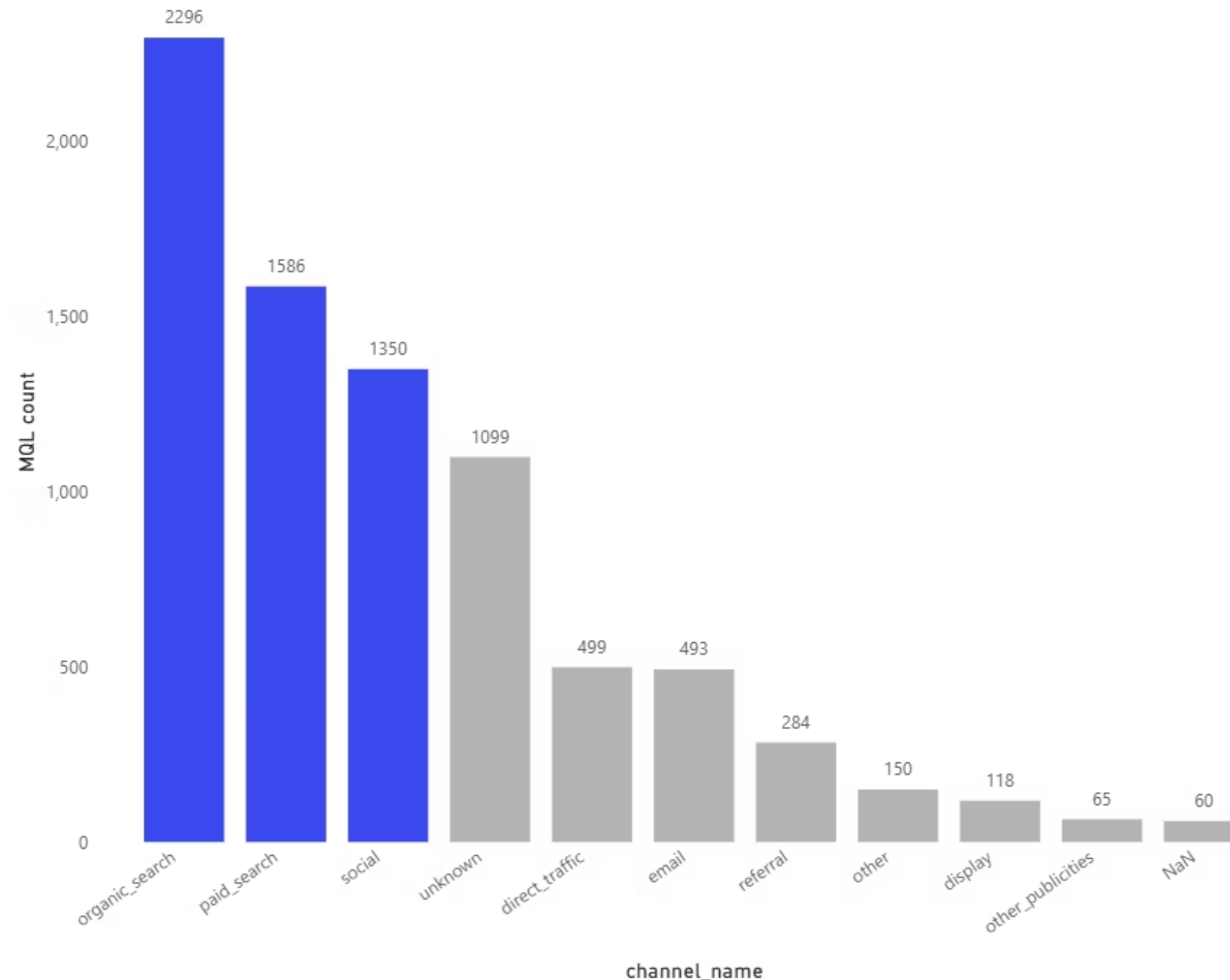
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Q3 budget decision: our 8,000 leads don't all deserve equal investment



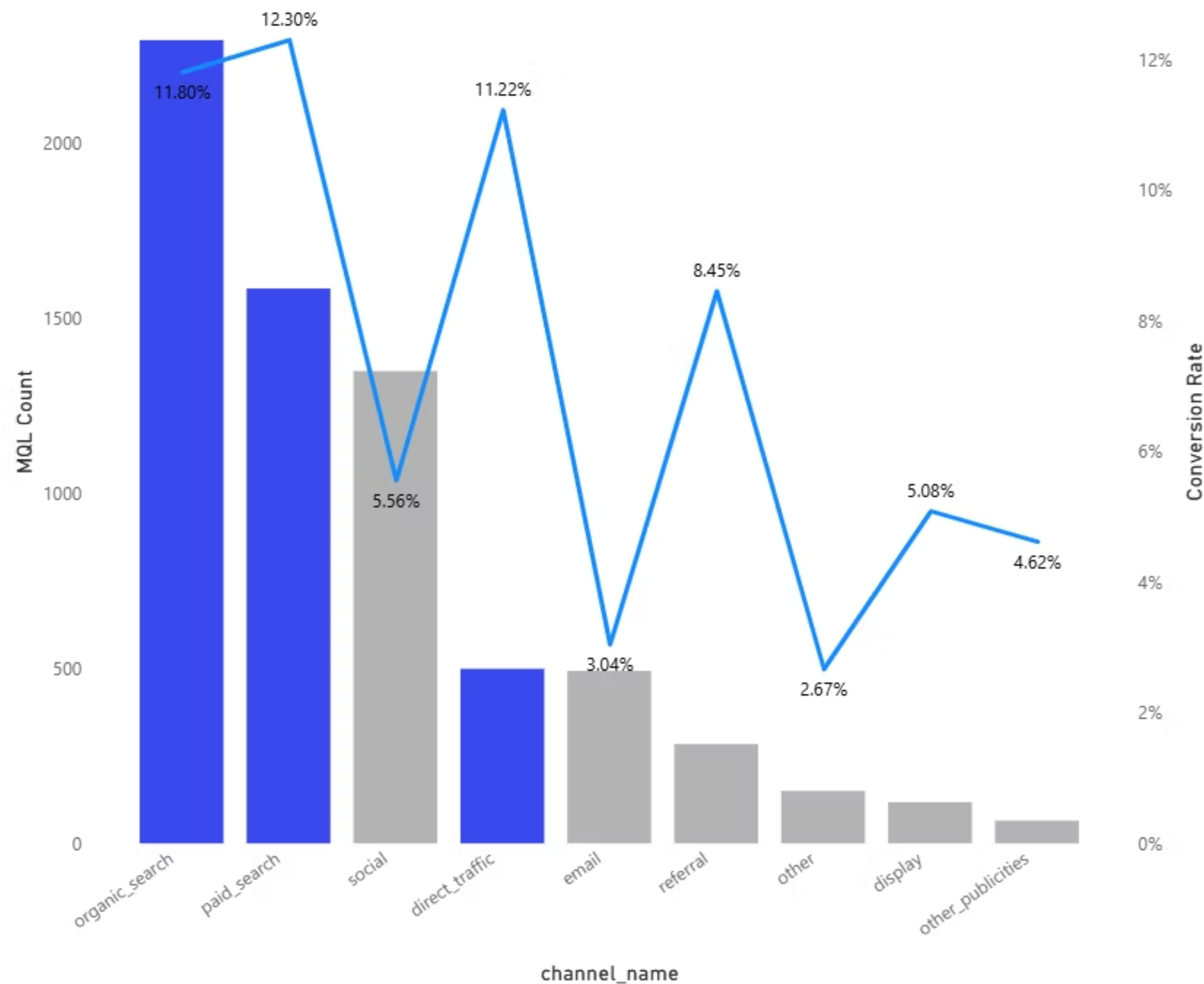
TOP 3 CHANNELS (ORGANIC, PAID, SOCIAL) ACCOUNT FOR 65% OF MQLS AND DRIVE THE BULK OF REVENUE



Organic Search, Paid Search and Social combined account for almost two-thirds of all leads. On a pure volume basis, Organic appears to be the clear winner with Social a strong third place.

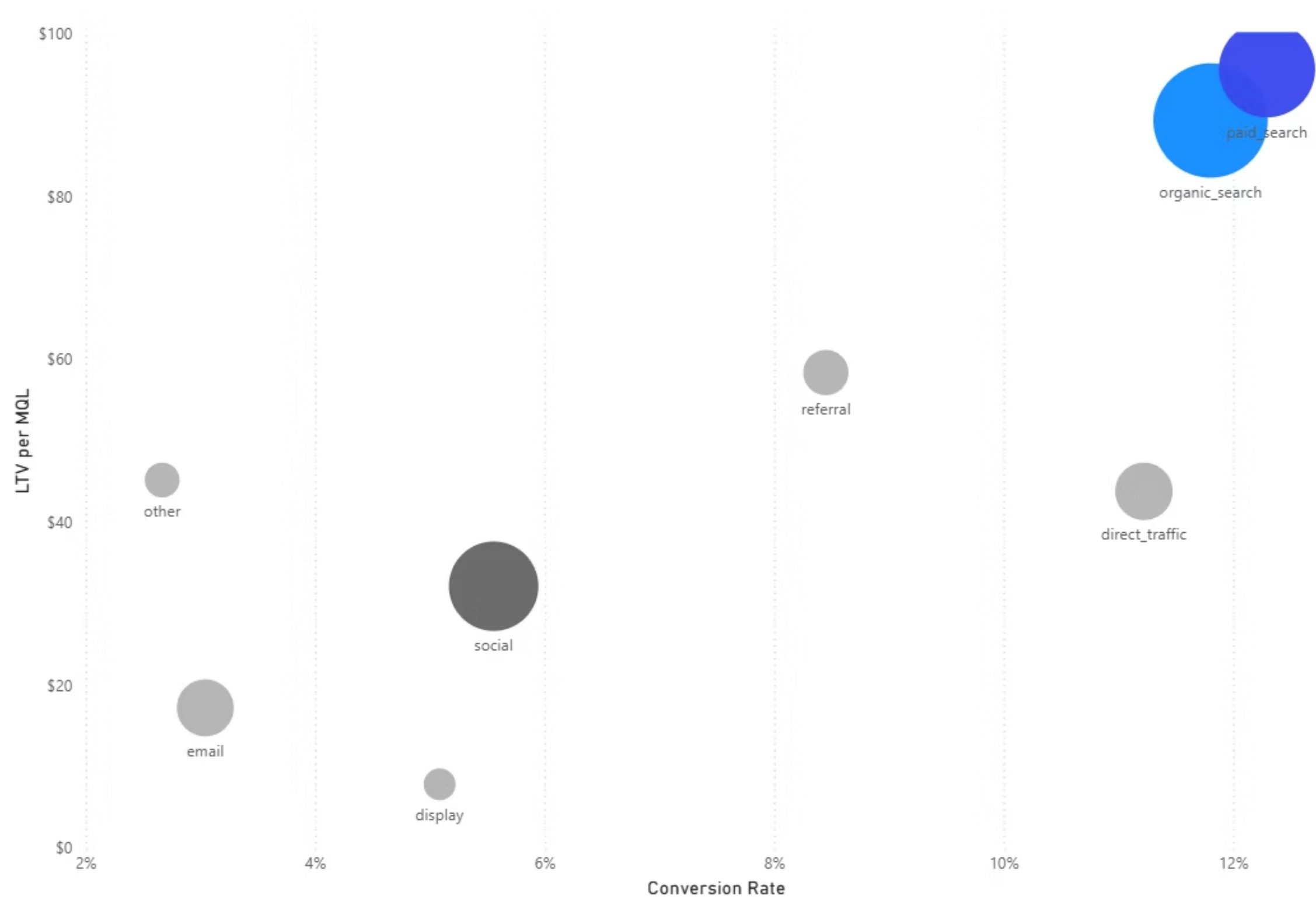
But volume is a beginning, not an end. The last two slides illustrate why Social channel by volume is really the most critical problem in the funnel.

SOCIAL CONVERTS AT HALF THE RATE OF OUR TOP CHANNELS, ON 1,350 LEADS



Paid Search, Organic, and Direct all convert in a tight range (11.2% to 12.3%). Social, which has the third-largest lead pool in the entire funnel, converts at only 5.56%. That's a wide gap. With Social's current volume, half that gap would be about 33 more deals a year.

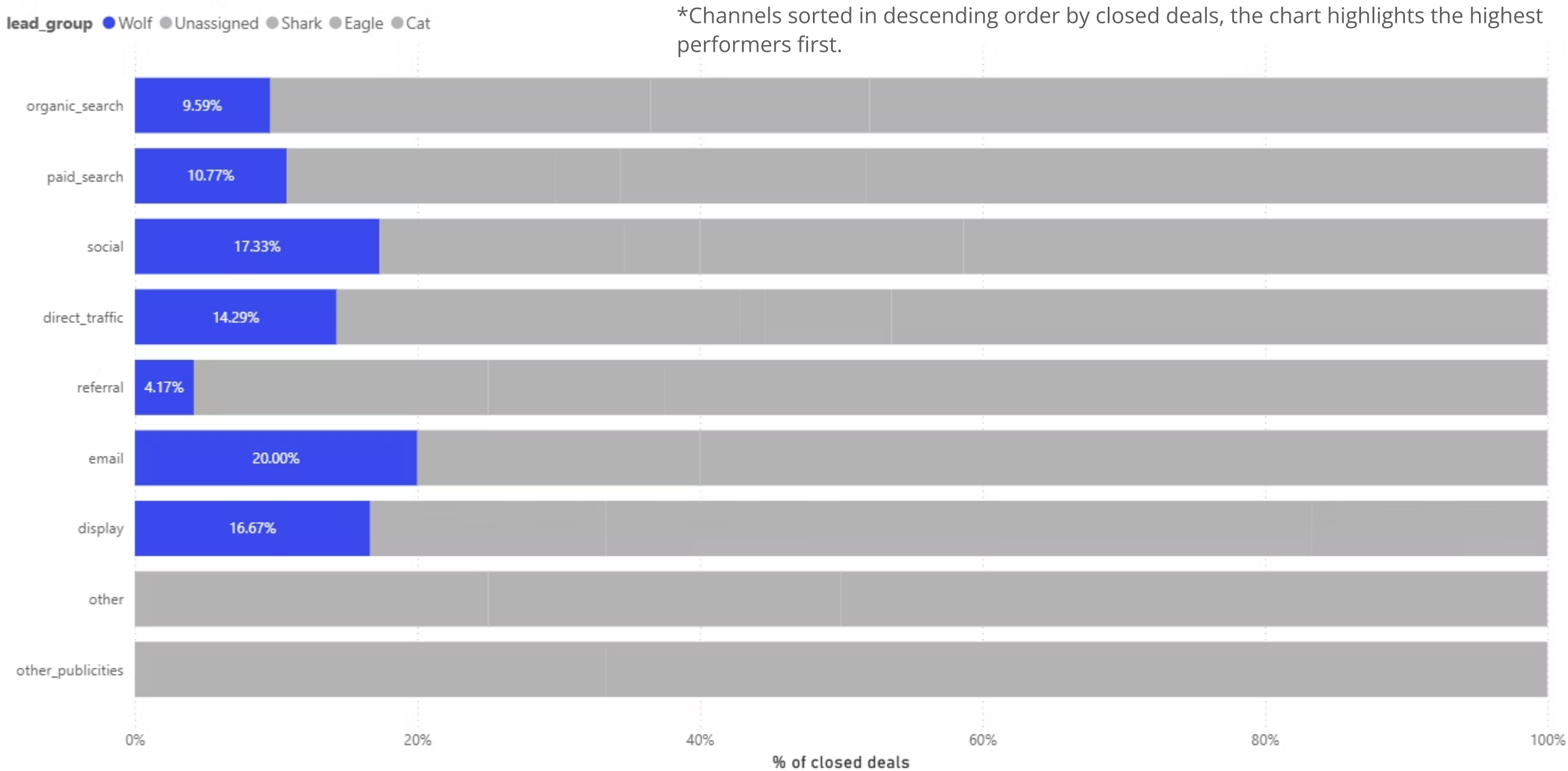
PAID SEARCH LTV / MQL LEADS AT \$95, BUT THE REAL GAP IS SOCIAL AT \$32



Paid Search leads with an LTV/MQL of \$95.61, while Organic follows closely at \$89.32. The 7% difference between them is real but not significant enough to warrant a major reallocation.

Social's LTV/MQL of \$32.14 is particularly noteworthy; it's three times lower than the leaders due to both poor conversion and lower revenue per converted seller.

SOCIAL'S WOLF PROBLEM: NEARLY 2× THE HIGH-MAINTENANCE SELLERS OF ANY OTHER TOP CHANNELS



17.3% of Social's closed deals come from Wolf-profile sellers. Other channels, like organic search and paid search, are at 9.6% and 10.8%, respectively. That's nearly double.

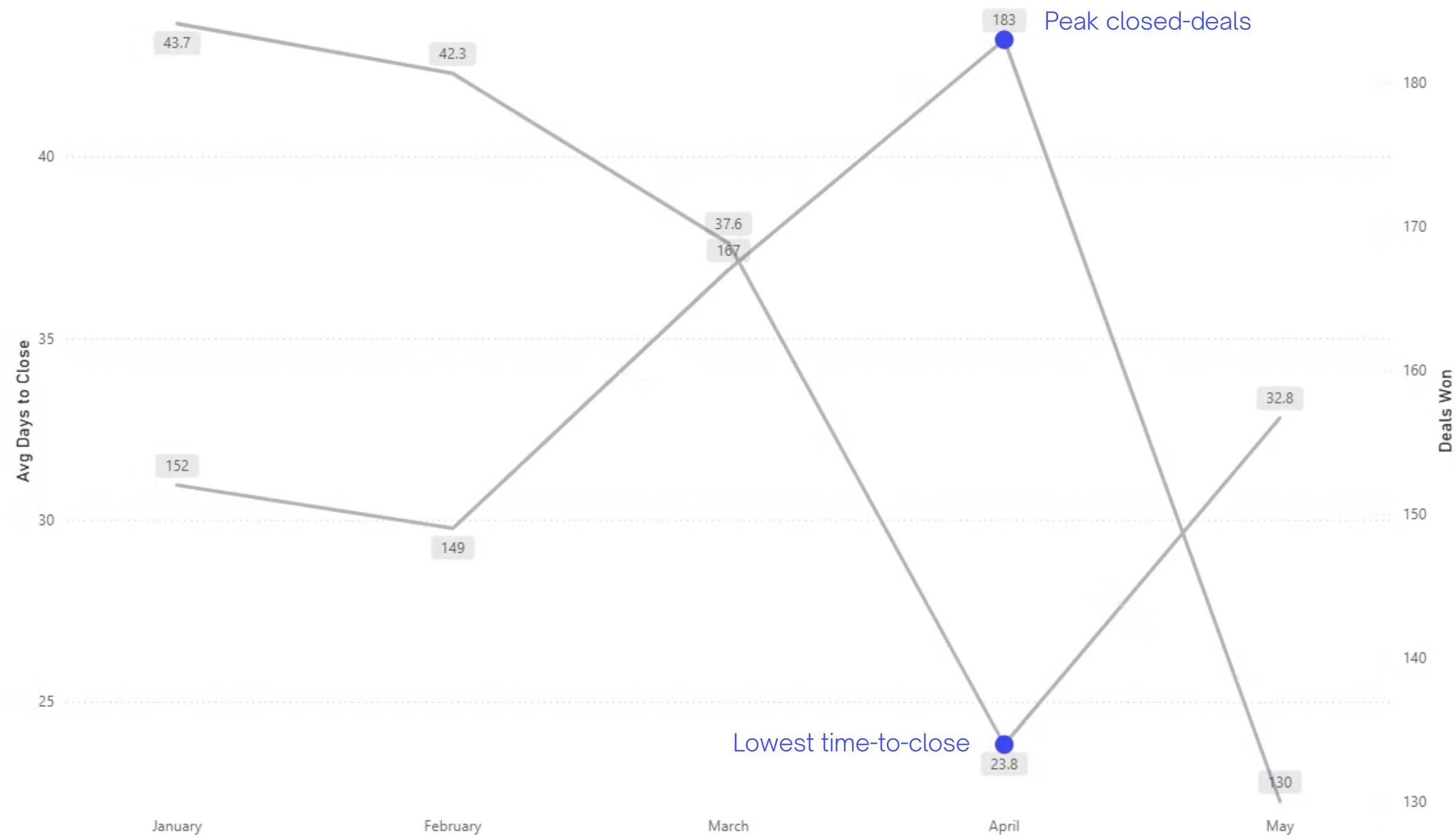
Why does Social have a higher percentage of Wolf sellers? There isn't any causal data, but Social interrupts users, while Search shows intent. A seller who finds Olist through a targeted search has already decided to look. A seller who comes across Olist through a social post is responding to an ad. This difference in behavior carries through to the close.

Let's look at the numbers: Social converts at 5.56%. If the concentration of Wolf sellers matched that of Organic (9.6% vs. 17.3%), and if Wolf sellers convert at about half the rate of Cat sellers, Social's conversion rate would rise to around 8% to 9%. The concentration of Wolf sellers accounts for a significant part of the gap. This is also an area the sales team can actually address.

Wolf means: aggressive, high-maintenance sellers. They need more touchpoints, push back on terms, demand faster responses, and burn more time. A team built for Cat and Eagle profiles (~63% of all deals) chokes when the pipeline floods with Wolves.

Try Pitch

A GOOD NEWS: SALES CYCLE CUT IN HALF IN 4 MONTHS



Average time-to-close dropped from 43.7 days in January 2018 to 23.8 days in April. This is a 45% decrease in just four months, while deal volume increased during the same period.

The 122-day average from December 2017 is an anomaly and is based on only 11 deals, so it can be ignored. The trend shows that the sales team is becoming more efficient without sacrificing quality.

We need to keep an eye on this metric. If it goes back above 45 days, that will be the signal to look into it.

RECOMMENDATIONS

1 Improve Social Media Conversion Rates (Medium to High Impact)

Our social media channel is doing okay it generates 1,350 customer leads, which is the second highest number. The conversion rate is only 5.56% and 17.3% of the deals are with sellers who are really hard to work with almost double that of the next best channel.

The problem might be that social media mostly attracts sellers who're really pushy and need a lot of attention. These sellers are tough to close deals with which brings down the conversion rate no matter how good the leads are. The data we have shows that channels with more of these sellers have lower conversion rates.

Here are some things we can do:

- Create a plan for dealing with pushy sellers: Sellers who are pushy and need a lot of attention respond better to outreach when it's fast and they have more freedom and there is less hassle. We should make a plan for leads from social media that are, like this.
- Score leads based on behavior: We should identify leads from media that are pushy early on and send them to experienced people who can handle them.
- Set a goal to improve: If we don't improve the conversion rate by least 2% in 2 quarters with special coaching we will spend less on social media and use that money for paid search instead.

RECOMMENDATIONS

2 Slowly Increase The Money We Spend On Paid Search Ads (Low Impact)

We are looking at the people who come to our website from Paid Search ads. These people are worth a lot to us because they spend money on our site. On average each person from Paid Search is worth \$95.61 to us and 12.30% of them actually buy something.

We also look at the people who come to our site from search results. These people are worth \$89.32 to us and 11.80% of them buy something. So the difference between people, from Paid Search and regular search is not big only about 7%.

Here is what we will do:

- We will spend 10 to 15% money on Paid Search ads.
- We will try out ads to see which ones work better for the people who sell things on our site, especially the people who have a Cat-profile.
- We will watch to see if spending money on ads helps us get more people to buy things from our site or if it does not make a difference.

RECOMMENDATIONS

3 We need to keep the sales process running smoothly (Informational)

The time it takes to close a sale is already getting shorter it is now twenty four days of forty four days. We do not need to do anything about this now we just need to keep an eye on it to make sure it does not get longer again.

Actions:

- We should check how long it takes to close a sale every month to see if there are any problems coming up
- If the time to close a sale gets longer, than forty five days we should look into if the types of sales we are making have changed, for example the sales cycle of the Sales Cycle Efficiency



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